1	2	3	4
	Total expenses	xxx	xxx
V.	Profit before exceptional and extraordinary items and tax (III - IV)	xxx	xxx
VI.	Exceptional items	xxx	xxx
VII.	Profit before extraordinary items and tax (V - VI)	xxx	xxx
VIII.	Extraordinary items	xxx	xxx
IX.	Profit before tax (VII- VIII)	xxx	xxx
X.	Tax expense:		
	(1) Current tax	xxx	xxx
	(2) Deferred tax	xxx	xxx
XI.	Profit (Loss) for the period from continuing operations (VII-VIII)	xxx	xxx
XII.	Profit/(loss) from discontinuing operations	xxx	xxx
XIII.	Tax expense of discontinuing operations	xxx	xxx
XIV.	Profit/(loss) from Discontinuing operations (after tax) (XII-XIII)	xxx	xxx
XV.	Profit (Loss) for the period (XI + XIV)	xxx	xxx
XVI.	Earnings per equity share:		
	(1) Basic	xxx	xxx
	(2) Diluted	xxx	xxx

***See* accompanying notes to the financial statements.**

GENERAL INSTRUCTIONS FOR PREPARATION OF STATEMENT OF PROFIT AND LOSS

1. The provisions of this Part shall apply to the income and expenditure account referred to in sub-clause (*ii*) of clause (*40*) of section 2 in like manner as they apply to a statement of profit and loss.

2. (*A*) In respect of a company other than a finance company revenue from operations shall disclose separately in the notes revenue from—

(*a*) Sale of products;

(*b*) Sale of services;

(*c*) Other operating revenues;

Less:

(*d*) Excise duty.

(*B*) In respect of a finance company, revenue from operations shall include revenue from—

(*a*) Interest; and

(*b*) Other financial services.

Revenue under each of the above heads shall be disclosed separately by way of notes to accounts to the extent applicable.

3. Finance Costs

Finance costs shall be classified as:

(*a*) Interest expense;

(*b*) Other borrowing costs;

(*c*) Applicable net gain/loss on foreign currency transactions and translation.

4. Other income

Other income shall be classified as:

(*a*) Interest Income (in case of a company other than a finance company);

(*b*) Dividend Income;

(*c*) Net gain/loss on sale of investments;

(*d*) Other non-operating income (net of expenses directly attributable to such income).

5. Additional Information

A Company shall disclose by way of notes additional information regarding aggregate expenditure and income on the following items:—

(*i*) (*a*) Employee Benefits Expense [showing separately (*i*) salaries and wages,

(*ii*) contribution to provident and other funds, (*iii*) expense on Employee Stock Option Scheme (ESOP) and Employee Stock Purchase Plan (ESPP), (*iv*) staff welfare expenses].

(*b*) Depreciation and amortisation expense;

(*c*) Any item of income or expenditure which exceeds one per cent. of the revenue from operations or Rs.1,00,000, whichever is higher;

(*d*) Interest Income;

(*e*) Interest expense;

(*f*) Dividend income;

(*g*) Net gain/loss on sale of investments;

(*h*) Adjustments to the carrying amount of investments;

(*i*) Net gain or loss on foreign currency transaction and translation (other than considered as finance cost);

(*j*) Payments to the auditor as (*a*) auditor; (*b*) for taxation matters; (*c*) for company law matters; (*d*) for management services; (*e*) for other services; and (*f*) for reimbursement of expenses;

(*k*) In case of Companies covered under section 135, amount of expenditure incurred on corporate social responsibility activities;

(*l*) Details of items of exceptional and extraordinary nature;

(*m*) Prior period items;

(*ii*) (*a*) In the case of manufacturing companies,—

(1) Raw materials under broad heads.

(2) goods purchased under broad heads.